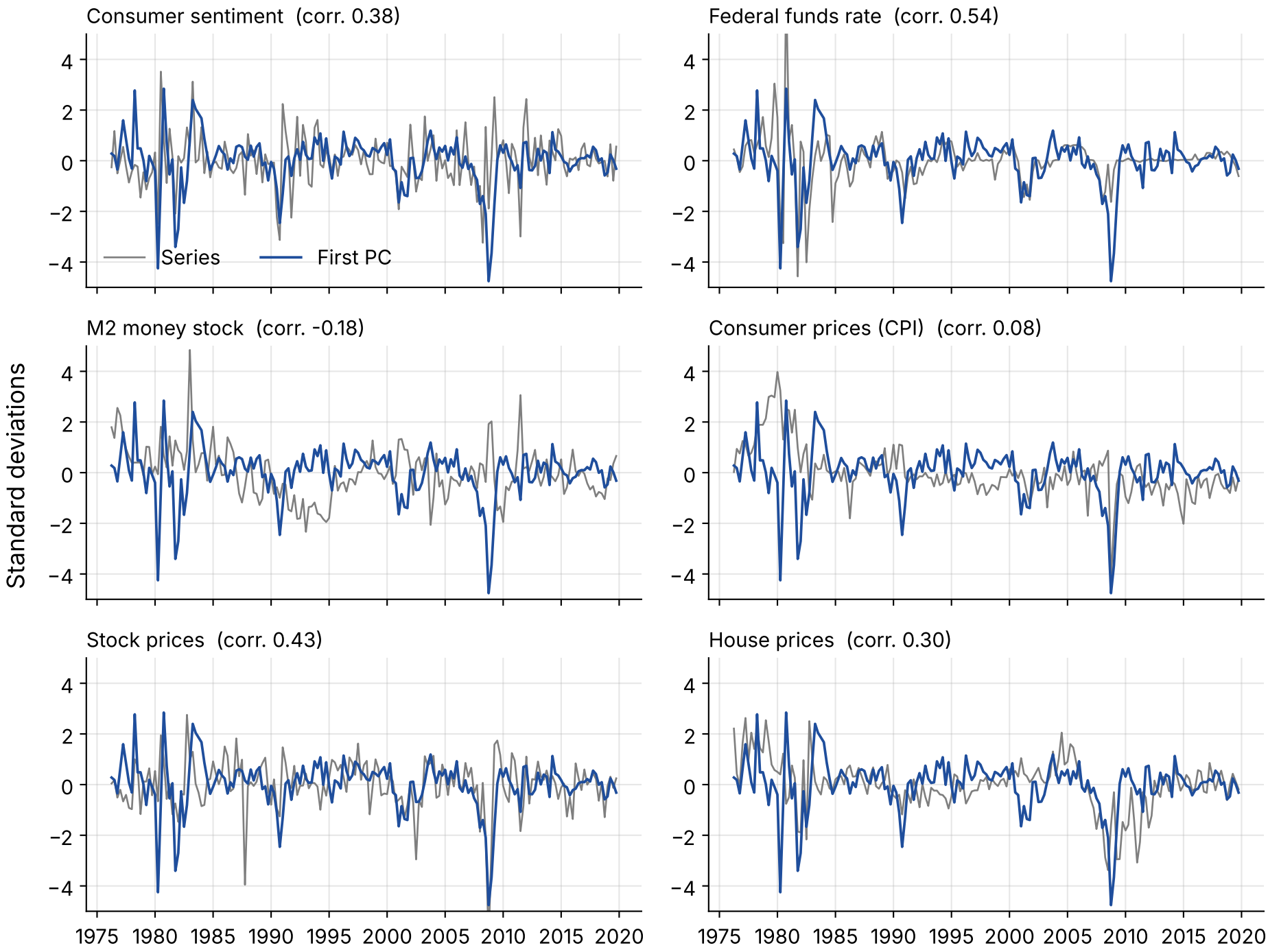
Consumer sentiment (corr. 0.38)
Federal funds rate (corr. 0.54)
M2 money stock (corr. -0.18)
Consumer prices (CPI) (corr. 0.08)
Stock prices (corr. 0.43)
House prices (corr. 0.30)
Series
First PC
Standard deviations
4
2
0
−2
−4
1975
1980
1985
1990
1995
2000
2005
2010
2015
2020